Lecture 7

Writing a Business Plan

Chapter Objectives

1. Explain the purpose of a business plan.
2. Discuss the two primary reasons for writing a business plan.
3. Describe who reads a business plan and what they're looking for.
4. Explain the difference between a summary business plan, a full business plan, and an operational business plan.
5. Explain why the executive summary may be the most important section of a business plan.

Chapter Objectives
2 of 2

6. Describe a milestone and how milestones are used in business plans.
7. Explain why its important to include separate sections on a firm’s industry and its target market in a business plan.
8. Explain why the “Management Team and Company Structure” section of a business plan is particularly important.
9. Describe the purposes of a “sources and uses of funds” statement and an “assumptions sheet.”

Chapter Objectives

10. Detail the parts of an oral presentation of a business plan.

What Is a Business Plan?

Business Plan

- A business plan is a written narrative, typically 25 to 35 pages long, that describes what a new business plans to accomplish.

Dual-Use Document

- For most new ventures, the business plan is a dual-purpose document used both inside and outside the firm.

Why Reads the Business Plan—And What Are They Looking For?

There are two primary audience for a firm's business plan

Audience	What They are Looking For
A Firm's Employees	A clearly written business plan helps the employees of a firm operate in sync and move forward in a consistent and purposeful manner.
Investors and other external stakeholders	A firm's business plan must make the case that the firm is a good use of an investor's funds or the attention of others.

Guidelines for Writing a Business Plan

Structure of the Business Plan

- To make the best impression a business plan should follow a conventional structure, such as the outline for the business plan shown in the chapter.
- Although some entrepreneurs want to demonstrate creativity, departing from the basic structure of the conventional business plan is usually a mistake.
- Typically, investors are busy people and want a plan where they can easily find critical information.

Guidelines for Writing a Business Plan

Structure of the Business Plan (continued)

- Software Packages
  - There are many software packages available that employ an interactive, menu-driven approach to assist in the writing of a business plan.
  - Some of these programs are very helpful. However, entrepreneurs should avoid a boilerplate plan that looks as though it came from a "canned" source.
- Sense of Excitement
  - Along with facts and figures, a business plan needs to project a sense of anticipation and excitement about the possibilities that surround a new venture.

Guidelines for Writing a Business Plan

Content of the Business Plan

- The business plan should give clear and concise information on all the important aspects of the proposed venture.
- It must be long enough to provide sufficient information yet short enough to maintain reader interest.
- For most plans, 25 to 35 pages is sufficient.

Types of Business Plans

- There are three types of business plans, which are shown on the next slide.

Guidelines for Writing a Business Plan

Types of Business Plans

Summary Business Plan

10–15 pages

Works best for new ventures in the early stages of development that want to "test the waters" to see if investors are interested in their idea

Full Business Plan

25–35 pages

Works best for new ventures who are at the point where they need funding or financing; serves as a "blueprint" for the company's operations

Operational Business Plan

40–100 pages

Is meant primarily for an internal audience; works best as a tool for creating a blueprint for a new venture's operations and providing guidance to operational managers

Guidelines for Writing a Business Plan

Recognizing the Elements of the Plan May Change

- It’s important to recognize that the plan will usually change while written.
- New insights invariably emerge when an entrepreneur or a team of entrepreneurs immerse themselves in writing the plan and start getting feedback from others.

Outline of Business Plan

Outline of Business Plan

- A suggested outline of a business plan is shown on the next several slides.
- Most business plans do not include all the elements introduced in the sample plan; we include them here for the purpose of completeness.
- Each entrepreneur must decided which elements to include in his or her plan.

Section 1: Executive Summary
1 of 2

Executive Summary

- The executive summary is a short overview of the entire business plan
- It provides a busy reader with everything that needs to be known about the new venture's distinctive nature.
- An executive summary shouldn't exceed two single-space pages.

Section 1: Executive Summary
2 of 2

Executive Summary

Key Insights

- In many instances an investor will ask for a copy of a firm's executive summary and will ask for a copy of the entire plan only if the executive summary is sufficiently convincing.
- The executive summary, then, is arguably the most important section of a business plan.

Section 2: Company Description
1 of 2

Company Description

- The main body of the business plan beings with a general description of the company.
- Items to include in this section:
  - Company description.
  - Company history.
  - Mission statement.
  - Products and services.
  - Current status.
  - Legal status and ownership.
  - Key partnerships (if any).

Section 2: Company Description
2 of 2

Company Description

Key Insights

- While at first glance this section may seem less important than the others, it is extremely important.
- It demonstrates to your reader that you know how to translate an idea into a business.

Mission statement vs vision statement

Mission Statement		Vision Statement
Present-oriented (what we do now)	VS	Future-oriented (what we want to be)
Defines WHY (purpose and values)	VS	Describes the desired future state
Action-oriented	VS	Aspirational
Answers: "What do we do?"	VS	Answers: "What do we want to become?" (impact)

Mission statement vs vision statement

Google's Mission Statement:

To organize the world's information and make it universally accessible and useful.

Google's Vision Statement:

To provide access to the world's information in one click.

MISSION AND VISION STATEMENT OF Microsoft

Mission Statement

To empower every person and every organization on the planet to achieve more.

Vision Statement

To democratize AI, making it accessible and beneficial for everyone.

Section 3: Industry Analysis
1 of 2

Industry Analysis

- This section should being by describing the industry the business will enter in terms of its size, growth rate, and sales projections.
- Items to include in this section:
  - Industry size, growth rate, and sales projections.
  - Industry structure.
  - Nature of participants.
  - Key success factors.
  - Industry trends.
  - Long-term prospects.

Section 3: Industry Analysis

Industry Analysis

Key Insights

- Before a business selects a target market it should have a good grasp of its industry—including where its promising areas are and where its points of vulnerability are.
- The industry that a company participates in largely defines the playing field that a firm will participate in.

Section 4: Market Analysis 1 of 2

Market Analysis

- The market analysis breaks the industry into segments and zeros in on the specific segment (or target market) to which the firm will try to appeal.
- Items to include in this section:
  - Market segmentation and target market selection.
  - Buyer behavior.
  - Competitor analysis.

Section 3: Market Analysis

Market Analysis

Key Insights

- Most startups do not service their entire industry. Instead, they focus on servicing a specific (target) market within the industry.
- It's important to include a section in the market analysis that deals with the behavior of the consumers in the market. The more a startup knows about the consumers in its target market, the more it can tailor its products or service appropriately.

Section 4: Marketing Plan

Marketing Plan

- The marketing plan focuses on how the business will market and sell its product or service.
- Items to include in this section:
  - Overall marketing strategy.
  - Product, price, promotions, and distribution.

Section 4: Marketing Plan
2 of 2

Marketing Plan

Key Insights

- The best way to describe a startup's marketing plan is to start by articulating its marketing strategy, positioning, and points of differentiation, and then talk about how these overall aspects of the plan will be supported by price, promotional mix, and distribution strategy.

Section 5: Management Team and Company Structure
1 of 2

Management Team and Company Structure

- The management team of a new venture typically consists of the founder or founders and a handful of key management personnel.
- Items to include in this section:
  - Management team.
  - Board of directors.
  - Board of advisers.
  - Company structure.

Section 5: Management Team and Company Structure
2 of 2

Management Team and Company Structure

Key Insights

- This is a critical section of a business plan.
- Many investors and others who read the business plan look first at the executive summary and then go directly to the management team section to assess the strength of the people starting the firm.

Section 6: Operations Plan

Operations Plan

- Outlines how your business will be run and how your product or service will be produced.
- A useful way to illustrate how your business will be run is to describe it in terms of "back stage" (unseen to the customer) and "front stage" (seen by the customer) activities.
- Items to include in this section:
  - General approach to operations.
  - Business location.
  - Facilities and equipment.

Section 6: Operations Plan
2 of 2

Operations Plan

Key Insights

- Your have to strike a careful balance between adequately describing this topic and providing too much detail.
- As a result, it is best to keep this section short and crisp.

Section 7: Product (or Service) Design and Development Plan
1 of 2

Product (or Service) Design and Development Plan

- If you're developing a completely new product or service, you need to include a section that focuses on the status of your development efforts.
- Items to include in this section:
  - Development status and tasks.
  - Challenges and risks.
  - Intellectual property.

Section 7: Product (or Service) Design and Development Plan

Product (or Service) Design and Development Plan

Key Insights

- Many seemingly promising startups never get off the ground because their product development efforts stall or turn out to be more difficult than expected.
- Its important to convince the reader of your plan that this won't happen to you.

Section 8: Financial Projections

Financial Projections

- The final section of a business plan presents a firm's pro forma (or projected) financial projections.
- Items to include in this section:
  - Sources and uses of funds statement.
  - Assumptions sheet.
  - Pro forma income statements.
  - Pro forma balance sheets.
  - Pro forma cash flows.
  - Ratio analysis.

Section 8: Financial Projections

Financial Projections

Key Insights

- Having completed the earlier sections of the plan, its easy to see why the financial projections come last.
- They take the plans you've developed and express them in financial terms.

Section 9: Business model and pricing strategy

A business model is an explanation of how you make money.

For many businesses, this is very straightforward and doesn't require much, if any, explanation. For others, more details will be required.

For example, a business like Google provides their search engine for free to users but sells ads in the search results.

Presenting the Business Plan to Investors

The Oral Presentation

- The first rule in making an oral presentation is to follow directions. If you're told you have 15 minutes, don't talk for more than the allotted time.
- The presentation should be smooth and well-rehearsed.
- The slides should be sharp and not cluttered.

Questions and Feedback to Expect from Investors

- The smart entrepreneur has a good idea of the questions that will be asked, and will be prepared for those queries.

Presenting the Business Plan to Investors

Twelve PowerPoint Slides to Include in an Investor Presentation

1. Title Slide
2. Problem
3. Solution
4. Opportunity and target market
5. Technology
6. Competition
7. Marketing and sales
8. Management team
9. Financial projections
10. Current status
11. Financing sought
12. Summary

Presenting the Business Plan to Investors

- It's also important to look sharp when presenting a business plan.
- This new venture team is going over its PowerPoint slides one last time before an investor presentation.

Presenting your business plan in three minutes

Slide 1: The Hook (approx. 15 seconds)

- Start with a captivating statistic, a relatable story, or a provocative question that immediately grabs the audience's attention.
- Clearly state your business's mission.

Slide 2: The Problem (approx. 30 seconds)

- Describe the specific problem your business solves and for whom.
- Use data or a brief anecdote to make the problem tangible.

Slide 3: The Solution (approx. 45 seconds)

- Introduce your product or service as the solution to the problem.
- Keep the description high-level and benefit-oriented. Avoid getting bogged down in technical details.

Slide 4: The Value Proposition (approx. 30 seconds)

- Clearly state what makes your solution unique and better than alternatives.
- Focus on a single, key differentiator.

Slide 5: The Business Model (approx. 30 seconds)

- Explain briefly how your business will make money.
- Focus on the core revenue stream, not every detail.

Slide 6: The Ask/Call to Action (approx. 30 seconds)

- State what you need from the audience (e.g., investment, partnership, feedback).
- Provide your contact information.

Tips of successful pitches

Practice, practice, practice: Rehearse your pitch multiple times to ensure it fits within the 3–5-minutes timeframe.

Keep it visual: Use strong visuals and minimal text on each slide. Let your spoken words carry the weight of the information.

Tell a story: Weave a narrative throughout your presentation to make it more engaging and memorable.

Focus on the core message: Don't try to cram too much information into the short time. Focus on the most important aspects of your business idea.

Assignment 2: The 5-Minute Entrepreneurial Pitch

Watch and Analyze: Select and watch at least ten (10) successful pitches close to your FYP ideas from online platforms such as YouTube.

Recommended sources include *Shark Tank (US/UK/India/Pakistan versions), Dragons' Den, TechCrunch Disrupt, or TED talks focusing on new business ideas*.

Task 1: Pitch Analysis and Deconstruction (Individual Work (10+10)

Deconstruct Success: For each pitch, identify the following key elements:

- **The Hook:** How did the presenter immediately grab the audience's attention?
- **The Problem:** How clearly was the core issue defined?
- **The Solution/Product:** How effectively did they demonstrate their product or service?
- **The Ask:** Was their request (funding, mentorship, etc.) clear and confident?
- **Body Language & Storytelling:** What non-verbal cues contributed to their success

Task 2: Develop and Refine Your Own Pitch (Record video and share)

Lecture 8

Developing an Effective Business Model

Bruce R. Barringer

R. Duane Ireland

What is a Business Model?

Model

- A model is a plan or diagram that's used to make or describe something.

Business Model

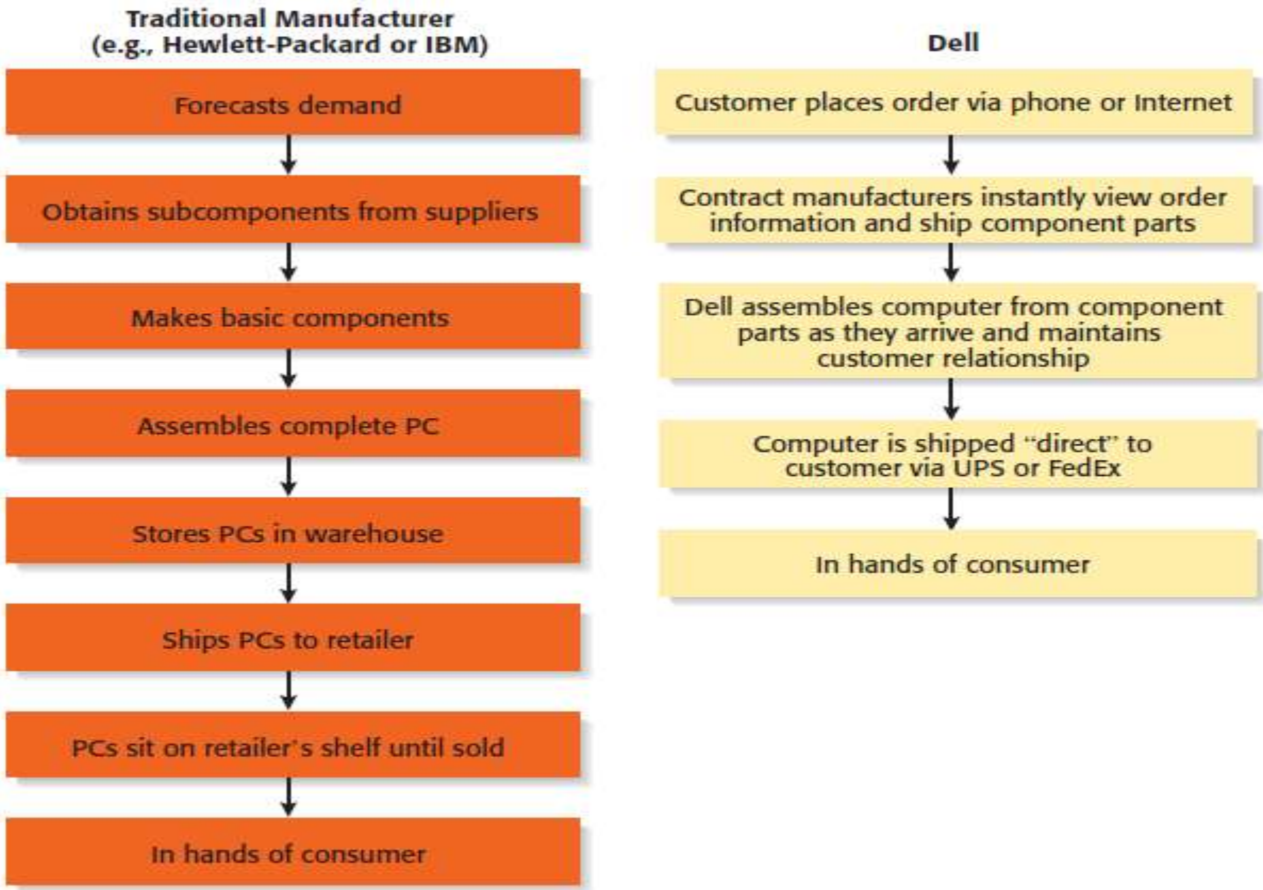
- A firm's business model is its plan or diagram for how it competes, uses its resources, structures its relationships, interfaces with customers, and creates value to sustain itself on the basis of the profits it generates.
- The term "business model" is used to include all the activities that define how a firm competes in the marketplace.

Dell's Business Model

- It's important to understand that a firm's business model takes it beyond its own boundaries.
- Almost all firms partner with others to make their business models work.
- In Dell's case, it needs the cooperation of its suppliers, customers, and many others to make its business model possible.

Dell's Business Model
2 of 2

Dell's Approach to Selling PCs versus Traditional Manufacturers



The Importance of Business Models

Having a clearly articulated business model is important because it does the following:

- Serves as an ongoing extension of feasibility analysis. A business model continually asks the question, "Does this business make sense?"
- Focuses attention on how all the elements of a business fit together and constitute a working whole.
- Describes why the network of participants needed to make a business idea viable are willing to work together.
- Articulates a company's core logic to all stakeholders, including all employees.

Diversity of Business Models

Diversity or Variety in Business Models

- There is no standard business model for an industry or for a target market within an industry.
- However, over time, the most successful business models in an industry predominate.
- There are always opportunities for business model innovation.

General Categories of Business Models

Business Model	Representative Companies
Advertising Business Model	Google, Facebook
Auction Business Model	eBay, uBid
Bricks and Clicks Business Model	Apple, Barnes & Khadi
Franchise Business Model	KFC, Marriot
Freemium Business Model	Dropbox, Evernote
Low-Cost Business Model	Southwest Airlines, Walmart
Manufacturer/Retailer Business Model	Apple, Fitbit, Tesla Motors
Peer-to-Peer Business Model	Airbnb, Uber

General Categories of Business Models (cont.)

Standard Business Models

Business Model	**Representative Companies**
Razor and Blades Business Model	Game Consoles and Games, Printers and Ink Cartridges
Subscription Business Model	Birchbox, Blue Apron, Netflix
Traditional Retailer Business Model	Whole Foods Markets, Zappos

Business Model Innovation

Netflix is an example of a business model innovator.

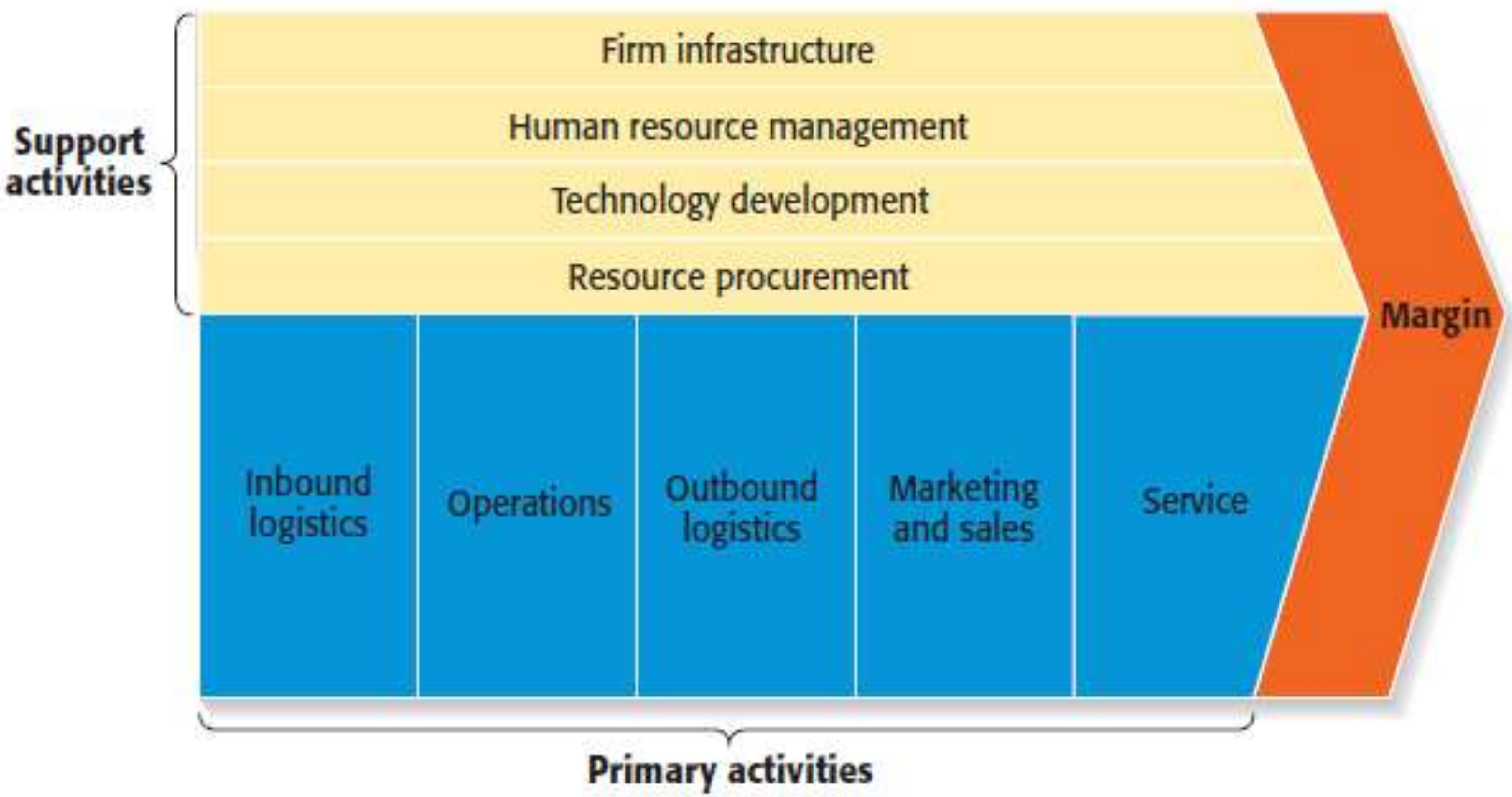
How Business Models Emerge

The Value Chain

- The value chain is the string of activities that moves a product from the raw material stage, through manufacturing and distribution, and ultimately to the end user.
- By studying a product’s or service’s value chain, an organization can identify ways to create additional value and assess whether it has the means to do so.
- Value chain analysis is also helpful in identifying opportunities for new businesses and in understanding how business models emerge.

How Business Models Emerge

The Value Chain



How Business Models Emerge

The Value Chain (continued)

- Entrepreneurs look at the value chain of a product or a service to pinpoint where the value chain can be made more effective or to spot where additional "value" can be added.
- This type of analysis may focus on:
  - A single primary activity such as marketing and sales.
  - The interface between one stage of the value chain and another, such as the interface between operations and outgoing logistics.
  - One of the support activities, such as human resource management.

Potential Fatal Flaws in Business Models

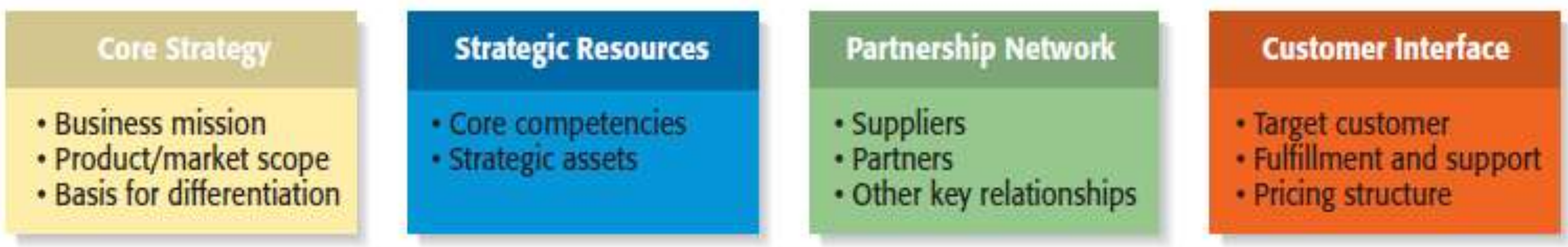
Fatal Flaws

- Two fatal flaws can render a business model untenable from the beginning:
  - A complete misread of the customer.
  - Utterly unsound economics.

Pets.com sported an unsound business model, and failed.

Components of a Business Model

Four Components of a Business Model



Core Strategy

Core Strategy

- The first component of a business model is the core strategy, which describes how a firm competes relative to its competitors.

Primary Elements of Core Strategy

- Mission statement.
- Product/market scope.
- Basis for differentiation.

Core Strategy

Primary Elements of Core Strategy

Mission Statement	A firm's mission, or mission statement, describes why it exists and what its business model is suppose to accomplish.
Product/Market Scope	A company's product/market scope defines the products and markets on which it will concentrate.

Core Strategy

Primary Elements of Core Strategy

Basis of Differentiation	It is important that a new venture differentiate itself from its competitors in some way that is important to its customers. If a new firm's products or services aren't different from those of its competitors, why should anyone try them?

Strategic Resources

Strategic Resources

- A firm is not able to implement a strategy without resources, so the resources a firm has affects its business model substantially.
  - For a new venture, its strategic resources may initially be limited to the competencies of its founders, the opportunity they have identified, and the unique way they plan to serve their market.
- The two most important strategic resources are:
  - A firm's core competencies.
  - Strategic assets.

Strategic Resources

Primary Elements of Strategic Resources

Core Competencies	A core competency is a resource or capability that serves as a source of a firm's competitive advantage. Examples include Sony's competence in miniaturization and Dell's competence in supply chain management.
Strategic Assets	Strategic assets are anything rare and valuable that a firm owns. They include plant and equipment, location, brands, patents, customer data, a highly qualified staff, and distinctive partnerships.

Strategic Resources

Importance of Strategic Resources

- New ventures ultimately try to combine their core competencies and strategic assets to create a sustainable competitive advantage.
- This factor is one that investors pay close attention when evaluating a business.
- A sustainable competitive advantage is achieved by implementing a value-creating strategy that is unique and not easy to imitate.
- This type of advantage is achievable when a firm has strategic resources and the ability to use them.

Partnership Network

Partnership Network

- A firm's partnership network is the third component of a business model. New ventures, in particular, typically do not have the resources to perform key roles.
- In most cases, a business does not want to do everything itself because the majority of tasks needed to build a product or deliver a service are not core to a company's competitive advantage.
- A firm's partnership network includes:
  - Suppliers.
  - Other key relationships.

Partnership Network

Primary Elements of Partnership Network

Suppliers	A supplier is a company that provides parts or services to another company. Intel is Dell's primary suppler for computer chips, for example.
Other Key Relationships	Firms partner with other companies to make their business models work. An entrepreneur's ability to launch a firm that achieves a competitive advantage may hinge as much on the skills of the partners as on the skills within the firm itself.

Partnership Network

The Most Common Types of Business Partnerships

Table 6.4 The Most Common Types of Business Partnerships

Partnership Form	Description
Joint venture	An entity created by two or more firms pooling a portion of their resources to create a separate, jointly owned organization
Network	A hub-and-wheel configuration with a local firm at the hub organizing the interdependencies of a complex array of firms
Consortia	A group of organizations with similar needs that band together to create a new entity to address those needs
Strategic alliance	An arrangement between two or more firms that establishes an exchange relationship but has no joint ownership involved
Trade associations	Organizations (typically nonprofit) that are formed by firms in the same industry to collect and disseminate trade information, offer legal and technical advice, furnish industry-related training, and provide a platform for collective lobbying

Customer Interface

Customer Interface

- The way a firm interacts with its customer hinges on how it chooses to compete.
  - For example, Amazon.com sells books over the Internet while Barnes & Noble sells through its traditional bookstores and online.
- The three elements of a company's customer interface are:
  - Target customer.
  - Fulfillment and support.
  - Pricing model.

Customer Interface

Primary Elements of Customer Interface

Target Market	A firm’s target market is the limited group of individuals or businesses that it goes after or tries to appeal to.
Fulfillment and Support	Fulfillment and support describes the way a firm’s product or service reaches it customers. It also refers to the channels a company uses and what level of customer support it provides.

Customer Interface

Primary Elements of Customer Interface

Pricing Structure	The third element of a company's customer interface is its pricing structure. Pricing models vary, depending on a firm's target market and its pricing philosophy.

Recap: The Importance of Business Models

Business Models

- It is very useful for a new venture to look at itself in a holistic manner and understand that it must construct an effective "business model" to be successful.
- Everyone that does business with a firm, from its customers to its partners, does so on a voluntary basis. As a result, a firm must motivate its customers and its partners to play along.
- Close attention to each of the primary elements of a firm's business model is essential for a new venture's success.